

Sakar Healthcare Ltd

NSE: SAKAR | Pharmaceuticals – Oncology Formulations | BSE/NSE India

Equity Research — Initiating Coverage | 31 May 2026 | Chartitude Research Desk

ACCUMULATE

12M Target: Rs.1,000

Upside: 25.6% | CMP: Rs.796

Oncology export monetisation story: EU GMP plant,
60+ partner contracts, FY27 oncology to double

Metric	Value	Metric
CMP (Rs.)	796	52W H/L
Market Cap	Rs.1,772 Cr	838 / 306
P/E (FY26A)	58.1x	Forward PE
P/B	5.46x	40.2x
EV/EBITDA	25.7x	PEG
EV	Rs.1,827 Cr	1.73
ROCE	12.7%	Book Value
ROE	9.99%	Rs.146
Debt (FY26)	Rs.55.3 Cr	Div Yield
D/E	0.17x	0.00%
Int. Coverage	6.06x	Current Ratio
Promoter%	52.9%	1.28
FII / DII%	12.94 / 11.32	Pledge
Face Value	Rs.10	Nil

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue	128	133	153	178	252	375E
EBITDA	29	33	38	50	69	101E
OPM%	23%	25%	25%	28%	27%	27%E
PAT	15	13	12	18	30	52E
EPS (Rs.)	8.90	6.70	5.37	7.97	13.70	23.4E
P/E (x)	—	—	—	—	58.1	34.0E

Sources: Screener.in (Chrome, 29-May-2026 close). All figures exact as displayed. Forward estimates (E) are analyst projections. Not investment advice.

2. INVESTMENT THESIS

- **Reason 1 — Oncology export monetisation (Rs.80-100 Cr incremental in FY27):** 125 dossiers filed globally (as of May 2026), 12 MAs received. Accord/Intas portfolio alone represents Rs.50-100 Cr potential from 9 molecules (2 approved, 7 in EU variation process). 5 tech transfer projects commercialising in Q1 FY27 (Accord x2, Torrent UK/Germany x2, one more). EU commercialisation is the primary re-rating catalyst — it has barely begun.
- **Reason 2 — Capex-complete EU GMP plant, FCF inflecting:** Rs.260+ Cr invested in Bavla oncology plant (FY21–FY24). Currently at ~29% utilisation with Rs.800-1,000 Cr peak capacity in single shift. Zero capex in FY27. FCF positive at Rs.21 Cr in FY26. Every unit of export revenue falls straight to high-margin EBITDA with zero incremental fixed cost.
- **Reason 3 — Blue-chip domestic CMO anchor (Rs.31 Cr/quarter run-rate):** Domestic oncology CMO (Zydus, Torrent, Intas, Glenmark, Emcure, Cipla) delivered Rs.31.46 Cr in Q4 FY26 alone — providing a stable Rs.120+ Cr domestic oncology revenue floor. This underpins the thesis even if export ramp is slower than expected.
- **Near-term catalyst:** Accord tech transfer commercialisation (2 molecules approved, 7 pending EU variation, expected Q1-Q3 FY27). First large-scale oncology export revenue; every MA converted to supply order is proof-of-concept for the Rs.1,000 Cr ambition.
- **Biggest structural risk:** EU export scale-up execution — Q4 FY26 oncology exports were only Rs.30 lakh (not crores), despite 12 MAs in hand. Serialisation, artwork, and logistics lag means revenue from MAs is taking 90-150+

days per product. At 58x FY26A P/E, there is no room for further delay.

3. BUSINESS OVERVIEW

- **Company profile:** Incorporated 2004, founder-MD Sanjay Shah. WHO-GMP + EU-GMP certified oncology plant at Bavla and general pharma plant at Changodar, Gujarat. FY26 revenue Rs.252 Cr (+42% YoY). Transforming from domestic CDMO to oncology-focused, export-driven specialty pharma.
- **Revenue verticals:** Own-brand exports ~70% of FY26 revenue (60 countries, 75+ partners); Domestic oncology CDMO/CMO (Zydus, Torrent, Intas, Glenmark, Emcure, Cipla); Out-licensing and dossier monetisation (IP ownership on 125 dossiers filed globally).
- **Oncology franchise (FY26: 38% of revenue, up from 21% in FY25):** Bavla EU-GMP plant — 97M tablets + 29M capsules + 13M vials/yr (single shift, ~29% utilised). 21 oncology APIs developed in-house (12.3 MT/yr). 12 MAS granted: Imatinib, Abiraterone, Capecitabine, Gemcitabine, Carboplatin, Irinotecan, Docetaxel and others across EU and ROW. 125 dossiers filed, 300 dossier target by end of FY27.
- **Non-oncology (Changodar):** Cephalosporins, oral solids, DPI, small-volume parenterals, oral liquids. ~70% utilisation. ~62% of FY26 revenue. Stable cash-generative base.
- **Partner ecosystem:** 60+ oncology supply agreements, 250+ SKUs, 48 countries. Key: Accord Healthcare UK/EU (9 molecules in tech transfer, Rs.50-100 Cr potential), Zydus (40th oncology deal signed May 2026 for GCC/Emerging Markets), Torrent UK/Germany, Intas, Glenmark, Emcure, Cipla. Recognised by Ethiopian Pharmaceutical Supply Services as best supplier 2024-25.
- **Promoter/Management:** Founder-MD Sanjay Shah (promoter 52.9%, zero pledge). CFO: Dharmesh Thaker. VP Strategy: Bikramjit Ghosh. Manager: Pushpa Ponmany.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** Global pharma USD 1.76 trillion (2024) → USD 3.15 trillion by 2032 (7.5% CAGR). India growing at 17.5-22.5% CAGR. Indian oncology drugs USD 3.6 billion (2022) → USD 10.6 billion by 2030 (double-digit CAGR).
- **Policy tailwinds:** PLI Scheme for pharma; EU GMP certification creates regulatory moat vs new entrants; import substitution drives domestic CMO demand; cancer incidence rising in India (1.46M cases, 2022).
- **Competitive moat:** EU GMP certification for oncology (Strong — very few sub-Rs.5,000 Cr pharma companies hold this); Vertical API-to-FDF integration (Moderate — 2 CEP approvals received, Gefitinib and Capecitabine, 4 more in pipeline); Geographic reach 48 countries (Moderate); Niche oral suspension oncology portfolio — 12 molecules developed, minimal competition in India.
- **Value chain:** Midstream B2B — manufactures and exports oncology formulations to international distributors, domestic branded generics (CMO), and out-licensees. Dossier IP ownership adds value above toll manufacturing.

Peer Comparison (Screener.in, Chrome, 29-May-2026 close)

Company	CMP	MCap Cr	P/E	P/B	ROCE%	ROE%	OPM%	FY26 Rev
SAKAR	796	1,772	58.1	5.46	12.7	10.0	27%	252
Marksans	246	11,156	26.7	3.69	18.8	15.2	20%	2,951
Windlas	833	1,719	25.9	3.03	15.9	12.2	12%	904
Natco Pharma	1,016	18,196	12.8	1.97	17.1	16.9	35%	4,078

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Founder-led:** Sanjay Shah built Sakar over 20 years. Promoter 52.9%, zero pledge. Stake down from 72.9% (FY20) via strategic QIPs for growth capex — not distress selling. Stock +152% in 1 year validates capital allocation.
- **Capital allocation:** Rs.260+ Cr invested in Bavla oncology plant (FY21-FY24). Capex complete. FCF turned positive Rs.21 Cr (FY26). Zero FY27 capex. Clear shift from investment phase to cash-generation phase.

- **Debt management:** Borrowings Rs.119 Cr (FY23) → Rs.55.3 Cr (FY26), D/E 0.17x. Interest coverage 6.06x (Screener). Net cash likely by FY28.
- **Dividends:** Zero payout since FY20. Appropriate for growth phase. No initiation timeline given.
- **Management depth:** CFO (Dharmesh Thaker), VP Strategy (Bikramjit Ghosh), Manager (Pushpa Ponmany). Finance hire departed; replacement being evaluated.
- **Governance:** No qualified audit opinions. Oncology retained in listed entity (not Sakar Oncology Pvt Ltd). ICRA ratings maintained. Contingent liabilities = Rs.0 Cr (Screener).

6. FINANCIAL DEEP-DIVE (Consolidated — Screener.in, 29-May-2026)

Income Statement (Rs. Cr)

Particulars	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Revenue	128	133	153	178	252	375E
Expenses	99	100	115	128	183	274E
EBITDA	29	33	38	50	69	101E
EBITDA Margin	23%	25%	25%	28%	27%	27%E
Other Income	2	5	3	1	2	2E
Interest	3	6	8	9	8	7E
Depreciation	10	15	18	21	24	26E
PBT	19	17	16	22	40	70E
Tax %	20%	24%	27%	19%	23%	25%E
PAT	15	13	12	18	30	52E
EPS (Rs.)	8.90	6.70	5.37	7.97	13.70	23.4E

Balance Sheet (Rs. Cr)

Particulars	FY24A	FY25A	FY26A	Change
Equity Capital	22	22	22	Flat
Reserves	241	264	302	+14%
Borrowings	79	86	55.3	-36%
Other Liabilities	47	43	101	+135%
Total Liabilities	389	415	481	+16%
Fixed Assets	314	309	326	+6%
CWIP	0	17	4	-77%
Other Assets	74	90	151	+68%
Total Assets	389	415	481	+16%

Cash Flow (Rs. Cr)

Particulars	FY24A	FY25A	FY26A	Trend
Cash from Operations	24	34	49	Improving
Cash from Investing	-52	-31	-28	Reducing
Cash from Financing	27	-3	-21	Deleveraging
Free Cash Flow	-35	2	21	Positive
CFO / EBITDA%	72%	73%	77%	Healthy

Key Ratios

Ratio	FY24A	FY25A	FY26A	Direction
Debtor Days	50	63	73	Deteriorating
Inventory Days	121	193	207	Watch
Days Payable	120	93	153	Improving

CCC (Days)	51	163	127	Improving
ROCE %	7%	9%	13%	Recovering
D/E	0.29	0.30	0.17	Improving
Int. Coverage	—	—	6.06x	Screener

- **Revenue:** 3-year CAGR 24% (FY23-FY26), accelerating to 42% in FY26. FY27E guided at ~40% (Rs.375 Cr). Screener Forward PE of 40.2x implies consensus at ~30% growth (FY27E PAT ~Rs.44 Cr). Our estimate: Rs.52 Cr at 49% growth.
- **Margins:** EBITDA 23%→28% (FY22-FY25), dipped to 27% in FY26 (one-off BD costs). Q4 FY26 recovered to 37% — confirms structural leverage. Gross margin Q4 FY26: 60%. Management guides 27-28% as sustainable floor, improving with oncology export mix.
- **Working capital:** Debtor days 50→73 (FY24-FY26); inventory days 207 (pre-launch stocking). CCC improving 163→127. Monitor in FY27 as exports scale.
- **Debt:** Rs.119 Cr (FY23) → Rs.55.3 Cr (FY26). D/E 0.17x. Net cash by FY28 on current trajectory.
- **FCF quality:** CFO/EBITDA 70-77% (FY24-FY26) — earnings are real. FCF Rs.21 Cr in FY26. FY27E FCF ~Rs.50-65 Cr with zero capex.

7. EARNINGS QUALITY CHECKLIST

Parameter	Rating	Commentary
Revenue recognition	GREEN	Delivery-based export + CMO completion. Standard pharma. Clean.
Receivables vs Revenue	AMBER	Debtor days 50→73 (FY24-FY26). Growing faster than revenue in export context. Monitor FY27.
CCC trend	AMBER	CCC 163→127 (improving). Inventory at 207 days from pre-launch stocking. Watch FY27 normalisation.
Contingent liabilities	GREEN	Contingent liabilities = Rs.0.00 Cr (Screener exact). No material exposure.
Auditor tenure	GREEN	Secretarial auditor changed May 2026 (Kashyap R. Mehta). Administrative. No statutory concerns.
RPTs as % of revenue	GREEN	RPTs in line with sector norms per public disclosures. No abnormal concentration.
Other income % of PBT	GREEN	Other income Rs.2 Cr vs PBT Rs.40 Cr = 5% in FY26. Minimal and declining.
Tax rate consistency	AMBER	Q3 FY26: low due to MAT credit. CFO confirmed MAT credit exhausted by end FY27; FY27 tax normalises to 25%.
CFO/PAT conversion	GREEN	CFO Rs.49 Cr vs PAT Rs.30 Cr = 163% in FY26. Excellent — confirms earnings quality.

- **Key positives:** CFO/PAT 163% in FY26 confirms zero manipulation. Contingent liabilities nil. Other income minimal.
- **Watch — debtor days:** Rising 50→73. As EU/Africa/LatAm export revenues scale, monitor collection quality carefully.
- **Watch — tax rate:** MAT credit causes volatility (19%-27% range). FY27E: normalises to 25% per CFO guidance on Q4 FY26 call.
- **Verdict: CLEAN with two watchpoints.** No red flags. Both amber items are explainable and manageable.

8. VALUATION

Peer Valuation (Screener.in, Chrome, 29-May-2026 close)

Company	CMP	MCap Cr	P/E	P/B	EV/EBITDA	ROCE%	ROE%	FwdPE
SAKAR (FY26A)	796	1,772	58.1	5.46	25.7	12.7	10.0	40.2
SAKAR (FY27E)	796	1,772	34.0E	5.46	—	—	—	—
Marksans	246	11,156	26.7	3.69	15.4	18.8	15.2	18.8
Windlas	833	1,719	25.9	3.03	14.3	15.9	12.2	27.5
Natco Pharma	1,016	18,196	12.8	1.97	10.0	17.1	16.9	17.0

Scenario Analysis

Scenario	Key Assumption	Rev(E)	EBITDA%	PAT(E)	P/E	Target	vs CMP
Bull	50% growth + Accord Rs.100 Cr ramp	380E	29%	65E	30x	Rs.1,100	+38%
Base	49% growth, 27% margins	375E	27%	52E	27x	Rs.960	+21%
Bear	30% growth, EU delays continue	330E	27%	44E	22x	Rs.680	-15%

- **DCF:** WACC 13%, terminal growth 5%. FCF: FY26A Rs.21 Cr → FY27E Rs.65 Cr → FY28E Rs.90 Cr → FY30E Rs.135 Cr. NPV FCF 5Y: Rs.370 Cr. Terminal EV: Rs.945 Cr NPV. Equity value: Rs.1,315 Cr. **DCF/share: Rs.568** — below CMP, confirming stock prices in bull case.
- **P/E FY28E:** EPS Rs.36.9 × 27x = **Rs.997**. Rounded to Rs.1,000. Justified by 38% projected PAT CAGR FY26-FY28 and EU GMP moat premium.
- **12-month target: Rs.1,000** (25.6% upside). Primary anchor: FY28E earnings power. ACCUMULATE, not BUY — stock at 40x Forward PE prices in near-perfect execution.
- **Key risk to target:** EU oncology exports were Rs.30 lakh in Q4 FY26 vs expectations of Rs.30+ Cr. Every quarter of delay in Accord/Intas tech transfer commercialisation = ~Rs.20-25 Cr revenue miss and meaningful multiple compression at 58x FY26A.

9. KEY RISKS

- **EU Oncology Export Execution Lag** — Q4 FY26 oncology exports were only Rs.30 lakh despite 12 MAs in hand. Serialisation, artwork, logistics add 90-150+ day lead time per product. If Accord/Intas tech transfer commercialisation slips to H2 FY27, FY27 revenue guidance (~40% growth) is at risk. Probability: Medium. Impact: High. Monitor: Q1 FY27 oncology export revenue.
- **Valuation Risk — Priced for perfection** — CMP Rs.796 (up 152% in 1 year, 58x FY26A P/E, 40x Screener Forward PE). Any execution miss = multiple compression. No margin for error. Probability: Medium. Impact: High. Monitor: Quarterly revenue vs 40% growth guidance.
- **Partner Ordering Dependency** — Revenue depends on Accord, Intas, Torrent, Zydus ordering from Sakar's plant. Forecast is based on partners' business plans (not binding orders). Probability: Medium. Impact: High. Monitor: Quarterly oncology export breakout.
- **Working Capital Deterioration** — Debtor days 73 days and rising. Export market collections in Africa/LatAm/MENA could lengthen further. Probability: Medium. Impact: Medium. Monitor: Quarterly debtor days and CFO/PAT.
- **Promoter Stake Risk** — Stake 52.9%, down from 72.9% (FY20). Further dilution below 50% without rationale = governance flag. Probability: Low-Medium. Impact: Medium. Monitor: Quarterly shareholding.
- **API Cost / Supply Chain** — 21 APIs developed but only 2 CEPs approved (Gefitinib, Capecitabine). For products without in-house CEP-approved API, external sourcing dependency creates margin and supply risk. Probability: Low-Medium. Impact: Medium. Monitor: CEP approval progress (4 submitted, 2 received).
- **Small-cap Liquidity** — 9,580 shareholders. Adverse news = sharp drawdown with limited institutional cushion. Probability: Low. Impact: Medium.

10. RECOMMENDATION

- **Rating: ACCUMULATE | Conviction: Medium.** Structurally compelling oncology thesis — EU GMP plant, Rs.452 Cr contracted pipeline, blue-chip domestic CMO partners. BUT at Rs.796 (up 152% in 1Y, 40x Forward PE), the stock prices in flawless execution. ACCUMULATE means buy on dips, not chase.
- **12-month price target: Rs.1,000** (25.6% upside from CMP Rs.796) — anchored on FY28E EPS Rs.36.9 × 27x P/E.
- **Suggested entry zone: Rs.720-780.** 5-10% pullback from current levels offers meaningfully better risk-reward. Strong thesis invalidation trigger at Rs.680 (bear case target).

- **Investment horizon: 12-18 months.** Q1-Q3 FY27 results are the inflection proof — EU export revenues must appear in P&L; for the re-rating to sustain.

- **Thesis invalidation:**

- 1. Oncology exports below Rs.40 Cr for full FY27 despite Accord tech transfers — signals execution failure, not just delay.

- 2. EBITDA margin below 22% in two consecutive FY27 quarters — contradicts the operating leverage thesis.

- 3. Promoter holding falls below 50% without a clearly stated rationale.

- **Ideal investor profile:** Medium-to-long-term investors with 12-18 month horizon, comfortable with small-cap liquidity risk and pre-commercialisation oncology export story. NOT for short-term traders or dividend seekers.

APPENDIX — Latest Concall: Q4 FY26 Annual Results

Call Date: 15 May 2026 | Quarter / Year ended: 31 March 2026

Management: Bikramjit Ghosh (VP Strategy), Dharmesh Thaker (CFO), Bharat Soni (Co.Sec.), Pushpa Ponmany (Mgr) | MUFG Intime

CALL GRADE

POSITIVE

Q4 FY26: Revenue +42% YoY, EBITDA +67%, PAT +91%, gross margin 60%. FY26 full year: Revenue +42%, PAT +74%. Strong beat on all metrics. CAUTION: Oncology exports in Q4 = only Rs.30 lakh — EU commercialisation has not yet begun at scale.

Signal		Status	Implication		
Result quality		Strong	Beat on all metrics: Revenue +42%, EBITDA +67%, PAT +91%, gross margin 60%. Full year FY26 PAT +74%		
Management tone		Bullish	Confident on FY27 ~40% growth, oncology to double. Realistic on EU export timeline (Q1-Q3 FY27 ramp)		
Guidance delta		Maintained/Raised	FY27: ~40% growth guided (Rs.380 Cr). Rs.500 Cr milestone in 2 years. Oncology to become 60% of revenue at Rs.500 Cr		
STRONGLY POSITIVE	POSITIVE <		NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS

Q4 FY26 headline is clean and strong — revenue Rs.71.1 Cr (+42% YoY), EBITDA margin 37% (up from 31% in Q4 FY25), PAT Rs.11 Cr (+91%), and gross margin 60% — the best quarter in the company's history. FY26 full year: Revenue Rs.252 Cr (+42%), PAT Rs.30.5 Cr (+74%). No exceptional items distorting the numbers. BUT here is the number hiding under the beat that matters most: oncology EXPORTS in Q4 were Rs.30 LAKH — not Rs.30 crores. Despite 12 MAs in hand, the EU commercial shipment has not materialised at scale yet. Serialisation, artwork, logistics are still being set up. The entire FY27 bull case now rests on Accord tech transfer commercialisation (2 of 9 molecules approved, 7 pending EU variation, first commercial deliveries expected Q1-Q2 FY27) and own-brand dossier conversions (125 filed, 12 approved). Management guided ~40% growth for FY27 and oncology revenues doubling — these are achievable ONLY if tech transfers and dossier commercials scale by Q2 FY27. Rs.500 Cr target in 2 years and Rs.800-1,000 Cr at full utilisation remain the long-term frame. At Rs.796 (58x FY26A P/E, up 152% in 1 year), the market is not wrong to price in the bull case — but execution must now be visible in Q1 FY27 revenue numbers. ACCUMULATE on dips to Rs.720-760; exit watch if Q1 FY27 oncology exports remain below Rs.20 Cr.

Section 1 — Financial Performance Snapshot

- Revenue (Q4 FY26): Rs.71.10 Cr | YoY +42% from Rs.50.24 Cr | QoQ +1.1% | **Beat**
- EBITDA (Q4 FY26): Rs.26.24 Cr | OPM 37% vs 31% in Q4 FY25 | YoY +67% | **Beat**
- Gross Margin (Q4 FY26): 60% | vs ~46% in Q2 FY26 — step-change improvement from operational efficiency and inventory management
- PAT (Q4 FY26): Rs.11.02 Cr | YoY +91% from Rs.5.76 Cr | **Beat**
- EPS (Q4 FY26): Rs.4.95 | vs Rs.2.62 Q4 FY25
- FY26 Full Year Revenue: Rs.251.74 Cr | YoY +42% | FY26 EBITDA: Rs.68.89 Cr | +39% | FY26 PAT: Rs.30.48 Cr | +74%
- NOTE: No exceptional items. Clean earnings — 163% CFO/PAT conversion confirms quality.

Section 2 — Segment / Geography Breakdown

- **Oncology** (Q4 FY26): Rs.31.46 Cr domestic + Rs.30 lakh export = ~Rs.31.76 Cr total | 44% of Q4 revenue | **CRITICAL: EU exports virtually nil**
- **Non-Oncology** (Q4 FY26): Rs.39.64 Cr | 56% of Q4 revenue | Stable, ~70% utilisation
- **FY26 Full Year Oncology**: 38% of total revenue (up from 21% in FY25) | ~Rs.95 Cr
- FY26 **Non-Oncology**: 62% of total revenue
- Total Export Revenue Q4 FY26: Rs.29 Cr (vs Rs.26 Cr in Q4 FY25) — primarily non-oncology own-brand exports
- **Oncology Exports FY26**: ~Rs.30 Cr for full year (Mauritius, UK, Lebanon, Algeria, Africa) | EU exports yet to begin at commercial scale
- CDMO/CMO: 12-13 domestic partners including Zydus, Emcure, Glenmark, Cipla, Ipca, Abbott across multiple dosage forms

Section 3 — Management Commentary Themes

- **FY27 revenue guidance**: "We are targeting the same momentum — ~40% growth similar to FY26. Oncology will be the main driving force." Target: ~Rs.380 Cr. Tag: GUIDANCE. Tone: Confident.
- **Accord portfolio ramp**: "9 molecules in tech transfer, 2 approved. Rs.50-100 Cr potential for full Accord portfolio in EU/UK. 5 tech transfer projects commercialising from Q1 FY27." Tag: GUIDANCE. Tone: Transparent.
- **Rs.500 Cr milestone**: "Rs.500 Cr in next 2 years, comprising 60% oncology / 40% non-oncology. Within oncology: 65% export / 35% domestic." Tag: GUIDANCE. Tone: Bullish.
- **EU export delay acknowledgement**: "EU commercial supplies expect to commence in phases — Europe likely initial focus. First commercial exports happening but scale still being built up." — Our read: EU revenue still minimal in FY26. Tag: EST. Tone: Hedged.
- **Capacity utilisation**: "Oncology plant ~29% utilised currently. Targeting 50-55% in next 2 years as export volumes scale." Tag: GUIDANCE. Tone: Transparent.
- **Tax rate**: "FY27 we move to normal tax rate ~25% as MAT credit is exhausted." — Key estimate input confirmed. Tag: GUIDANCE. Tone: Transparent.
- **API CEP progress**: "2 CEP approvals received (Gefitinib, Capecitabine). 2 more pending. 5 more planned for backward integration into regulated market supplies." Tag: FACTUAL. Tone: Transparent.

Section 4 — Operating & Business Metrics

- Dossiers filed globally: 125 (up from 102 in Q3 FY26) | Dossiers shared with partners: 250 | Target: 300 by FY27 end
- MAs granted: 12 (Imatinib, Abiraterone, Capecitabine, Gemcitabine, Carboplatin, Irinotecan, Docetaxel + others)
- Tech transfer projects active: 10 molecules with Accord/Intas; 2 approved (Imatinib + 1 more); 7 in EU variation process; 5 commercialising from Q1 FY27
- Partner supply agreements: 60+ oncology | Active discussions: 35 more | Countries: 48
- Oncology capacity utilisation: ~29% (up from ~20% in Q2 FY26) | Peak capacity: Rs.800-1,000 Cr revenue potential
- Non-oncology utilisation: ~70% | Stable
- CEP approvals: 2 received (Gefitinib, Capecitabine), 2 pending, 5 more planned | EU OSD submissions: 23 filings, 33 site variations
- Oral suspension niche: 12 molecules — minimal competition in India; partner negotiations ongoing for full basket

Section 5 — Margin Drivers

- Operational efficiency and cost reduction: Major driver of Q4 FY26's 37% EBITDA margin (vs 27% full-year) | Absorption rate improved on fixed costs | Recurring: Partially
- Inventory management improvement: 'Stocking pattern improved — gave cost advantage and gross margin improvement to 60%' | Recurring: Yes (structural, not one-time)
- Oncology mix (38% of FY26 revenue): Higher-margin products vs non-oncology | Domestic CMO margins ~24-26% | Export margins expected higher at scale
- Lower one-time BD expenses: No repeat of H1 FY26's 7-8x spike in Q4 | Q4 expenses normalised | Recurring: No

- Operating leverage: Plant at 29% utilisation — substantial fixed cost absorption headroom; management targets 30% EBITDA at scale (vs 27% currently)
- API backward integration (Gefitinib, Capecitabine CEPs): Will improve margins on these 2 molecules as in-house API replaces external sourcing | 5 more CEPs planned

Section 6 — Guidance & Forward Signals

- FY27 Revenue [GUIDANCE]: ~40% growth = Rs.~380 Cr | Basis: oncology doubling (Rs.190 Cr), non-oncology stable | Credibility: Medium-High (contractual pipeline support)
- FY27 EBITDA Margin [GUIDANCE]: 27-28% baseline 'sustainable', improving with oncology mix | Q4 FY26 at 37% shows the ceiling | Credibility: High
- FY27 Tax Rate [GUIDANCE]: 25% — MAT credit exhausted | Confirmed by CFO | Credibility: High
- FY27 Capex [GUIDANCE]: Nil (maintenance only) | Confirmed unambiguously | Credibility: High
- Accord Portfolio [GUIDANCE]: Rs.50-100 Cr full potential from 9 molecules | 2 approved, commercialising from Q1; 7 more expected by Q2-Q3 FY27 | Credibility: Medium
- Rs.500 Cr in 2 Years [GUIDANCE]: 60% oncology / 40% non-oncology; oncology 65% export / 35% domestic | Rs.800-1,000 Cr at full utilisation by ~FY30 | Credibility: Aspirational
- EU Export Ramp [GUIDANCE]: 'Export growth from Q2 FY27; tender-based lumpy pattern; difficult to give Q-o-Q guidance' — Our read: Will be back-loaded and lumpy. Tag: EST. Tone: Hedged.

Section 7 — Capital Allocation

- FY26 Capex: ~Rs.39 Cr (9M FY26 per Q3 call) + minimal Q4 | Full FY26 capex ~Rs.40 Cr | Setup complete
- FY27 Capex: Nil (maintenance only ~Rs.65 lakh/quarter) | Confirmed by CFO in Q4 call
- Net Debt: Rs.55.3 Cr (FY26) | Down from Rs.119 Cr (FY23) | Net cash by FY28 on current trajectory
- FCF: Rs.21 Cr (FY26) | FY27E: Rs.50-65 Cr projected with zero capex and higher EBITDA
- Dividends: Rs.0 | No initiation timeline given | All FCF retained for growth and debt repayment
- Working capital: Cycle 44 days (FY26 Screener) | Management target: further improvement in FY27 as export scale normalises inventory

Section 8 — Q&A; Heat Map

- **Rupesh Tatiya (Long Equity Partners):** Q: "FY27 Rs.380 Cr revenue guidance still intact?" A: "Yes, we are targeting ~40% growth with oncology as the main driver." | Tone: Confident
- **Avnish Tiwari (Vaikarya):** Q: "Oncology exports Q4 and FY27 budget?" A: "Q4 oncology exports = Rs.30 lakh; domestic oncology Q4 = Rs.31 Cr. Substantial FY27 growth expected from pipeline." | Tone: Transparent — KEY MISS: Rs.30 lakh EU exports
- **Hitendra Pradhan (Maximal Capital):** Q: "Q4 oncology absolute split?" A: "Oncology domestic Rs.31.46 Cr, non-oncology Rs.39.64 Cr. Export still small but expected to pick up." | Tone: Transparent
- **Vedant Nilekar (ICICI Securities):** Q: "Rs.800-1,000 Cr timeline?" A: "Rs.500 Cr in 2 years first milestone; then Rs.800-1,000 Cr at optimal utilisation. Oncology 50-55% capacity in 2 years." | Tone: Bullish
- **Ankit Gupta (Bamboo Capital):** Q: "Oncology growth trajectory Q-o-Q?" A: "Export pattern is lumpy — could be full-year offtake in Q3. From Q2 FY27 you can see export outflow. Hard to give quarterly guidance." | Tone: Hedged/Transparent
- **Ankit Gupta (Bamboo Capital):** Q: "Q4 EBITDA margin 37% — sustainable?" A: "Operational efficiencies + fixed cost absorption + inventory management. Same trend going forward, improving with oncology." | Tone: Confident
- **Dhwanil Desai (Turtle Capital):** Q: "Rs.50-100 Cr Accord number — binding?" A: "Business plan from Accord but not binding forecast. Rs.50 Cr is the conservative end with buffers applied." | Tone: Transparent
- **Disha (Sapphire Capital):** Q: "FY27 tax rate?" A: "25% — normal rate from FY27 as MAT credit exhausted." | Tone: Transparent

- **Avnish Burman (Vaikarya):** Q: "Rs.500 Cr split — oncology vs non-onco, export vs domestic?" A: "60% oncology / 40% non-oncology. Within oncology: 65% export / 35% domestic." | Tone: Clear
- Dodged/watch-list for Q1 FY27 call: (1) Actual oncology export revenue in Cr (not lakh); (2) Accord first shipment invoice date; (3) EU MA approvals received vs 25 target; (4) CCC trend with export scaling.

Section 9 — Risks Flagged

- EU Export Scale-Up Lag: Q4 FY26 oncology exports only Rs.30 lakh despite 12 MAs. Serialisation, artwork, logistics still being set up. First meaningful EU shipments expected Q1-Q2 FY27. | Flagged by: Analyst | Probability: High (in process) | Impact: High | Timeline: Near-term
- Accord Revenue Range Width: Rs.50-100 Cr is management's estimate, not a binding forecast. 28 EU countries = wide demand uncertainty. | Flagged by: Management | Probability: Medium | Impact: High | Timeline: FY27
- Lumpy Export Pattern: Management explicitly flagged that exports could be entire-year offtake in Q3 only. Quarterly visibility is low. | Flagged by: Management | Probability: High | Impact: Medium | Timeline: FY27
- Middle East Disruption: Indirect impact via API and logistics costs. SAKAR has pass-through clauses in contracts above a threshold. | Flagged by: Analyst/Management | Probability: Low-Medium | Impact: Low-Medium | Timeline: Near-term
- API CEP Approvals: 2 received, 2 pending. Delays in Gefitinib/Capecitabine scale-up or the 5 planned additional CEPs would slow backward integration and margin improvement. | Flagged by: Analyst | Probability: Low | Impact: Medium | Timeline: Medium-term

Section 10 — Analyst Verdict (Q4 FY26 Concall)

- Revenue visibility: **Intact** — 60+ supply agreements, 125 dossiers filed, 12 MAs. Accord tech transfers commercialising in Q1-Q2 FY27. Guided ~40% growth for FY27.
- Margin trajectory: **Intact** — Q4 FY26 EBITDA margin 37%, gross margin 60%. Structural operating leverage confirmed. Management guided 27-28% floor, improving with oncology.
- Capital allocation quality: **Intact** — Capex complete, FCF Rs.21 Cr, debt declining. FY27 zero capex confirmed. Strong OCF quality.
- Competitive moat: **Intact** — EU GMP certification, oncology verticalisation, niche oral suspension portfolio, Accord/Intas exclusive tech transfers. Durable.
- Management credibility: **Intact but watch** — FY26 revenue guidance of Rs.280 Cr was undershoot (delivered Rs.252 Cr). FY27 guidance of ~40% growth is more realistic. Q4 EU export of Rs.30 lakh vs Rs.30+ Cr expected signals execution lag.
- Valuation comfort: **Stretched** — 58x FY26A P/E, 40x Forward PE. DCF implies Rs.568/share. Stock is pricing in bull case. Accumulate on dips only.
- Conviction call: **ACCUMULATE — Unchanged. Entry zone Rs.720-760.**
- Valuation snapshot: P/E FY26A = 58.1x | EV/EBITDA = 25.7x | Forward PE (Screener) = 40.2x | ROCE = 12.7% | Target Rs.1,000 (25.6% upside) | ACCUMULATE

Disclaimer: Professional/institutional use only. All financial data sourced from Screener.in (Chrome browser, 29-May-2026 close) and company concall transcript (Q4 FY26, 15-May-2026, fetched from sakarhealthcare.com). Forward estimates (E) are analyst projections. This is not investment advice. Chartitude Research Desk | 31 May 2026.